

- should have deferred to the pro.
2. Beware of recency bias. An earlier start-up Howard and I invested in never found an exit. That sample set of one colored my view.
 3. Do not assume that any start-up, or even mature company, will look the same in six months, let alone five years later. Failing to recognize these truisms meant that I left a lot of money on the table.

In the price

When I was pitching Apple to retail brokers to buy for clients, I could not help but notice the certainty of some people's conclusions about the company's attempted turnaround. Even my mother, a former real estate agent and stock dabbler, sounded like everyone else when she said to me: "Apple? They are going out of business!" (Note my own *smugness* in the above examples.)

When any trading idea creates a knee-jerk reaction of disgust, *pay attention*. This reaction reflects all of the bad news that is already priced in, not the good news that may come later. The lesson to be learned is in recognizing emotional reactions as revealing widespread, backwards-looking sentiment.

Short the market

On Wall Street today, short sellers are an endangered species, and that is too bad. The firm I worked for during the GFC was short several key stocks heading into 2008: American International, Lehman Brothers, and CIT. And the year before, we were short Bear Stearns.

But even getting those trades rights turned out to be missed opportunities. First, there was a constant threat of a short squeeze and our positions could be called away at any moment. Second, we did not size the positions correctly. These shorts were high-conviction trades, and we should have had much more of each. [233](#)